

1. Business Problem Statement

Project Title

Retail Returns & Reverse Logistics Optimization

Business Problem

Online retailers process a large number of customer transactions, and a portion of these transactions may be cancelled or returned. These cancellations and returns can create operational challenges such as inventory disruption, additional processing effort, delayed recovery of products, and financial impact.

The business currently lacks a structured, data-driven approach to understand cancellation patterns across products, customers, time periods, and transaction values. Without this visibility, management may find it difficult to identify high-impact areas and prioritize process improvements.

This project aims to analyze retail transaction data to identify cancellation patterns, measure their business impact, and recommend improvements to the returns and reverse-logistics process.

Business Question

How can the retailer use transaction data to identify cancellation patterns, understand their business impact, and improve the returns management process?

Expected Business Benefits

- Better visibility into cancellation patterns
- Identification of high-impact products and customers
- Improved understanding of transaction trends
- Better decision-making through dashboards and data analysis
- Identification of opportunities to improve return/cancellation handling
- Data-driven recommendations for process improvement